

Procure Space ETF

SPCX NASDAQ

Buy

\$136.73 ▲ 2.58%

12M Price Target
\$155.00

52-Week Range
\$104.83 – \$225.64

Market Cap
\$1.80T

SPCX: Space ETF Rides SpaceX Halo and Defense Budget Wave

WHAT HAPPENED

- SPCX popped 2.6% today and is up ~19% from last week's \$114 low — the driver is a wave of SpaceX-related headlines: Morgan Stanley says the market is underestimating SpaceX's AI unit, and there's fresh chatter about SpaceX hitting \$100B in annual recurring revenue by 2027 and \$1T by 2030. Since SPCX is a space-sector ETF (basically a basket of space stocks), any re-rating of SpaceX's private valuation lifts the whole complex.
- The volume today is weirdly low (20M vs. 100M+ recent days) — that tells me the buying is being met with less selling pressure, not that conviction is fading. Thin tape into a rally often means the next real news event moves it hard in either direction.

WHY IT MATTERS

The bigger story here is that space is quietly becoming a policy priority, not just a moonshot trade. The Trump administration has been vocal about "American dominance in orbit," the Space Force budget keeps expanding, and the FAA has been fast-tracking launch licenses — all of which directly benefits SPCX holdings like Rocket Lab, Iridium, and Planet Labs. The SpaceX halo effect matters too: even though SpaceX is private and not in the ETF, when its implied valuation jumps, publicly-traded competitors and suppliers get re-rated by association. Watch for this to become a crowded trade — SPCX at 26% of its 52-week range means there's plenty of room to run, but also plenty of room to give back if enthusiasm cools.

POLICY & POLITICAL WATCH

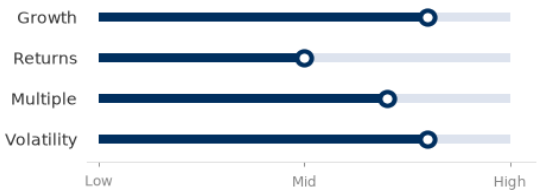
Two things to track: (1) The FY2027 defense authorization bill working through Congress includes a proposed ~12% bump for Space Force procurement — if that survives reconciliation, it's a direct tailwind for launch and satellite names in SPCX. (2) The Commercial Space Act amendments being discussed would streamline FAA launch licensing (currently a bottleneck) — passage would be bullish for launch cadence and revenue recognition across the sector. The headwind to watch: any China tariff escalation on rare earth magnets and specialty electronics hits satellite manufacturers on the cost side.

IS IT EXPENSIVE?

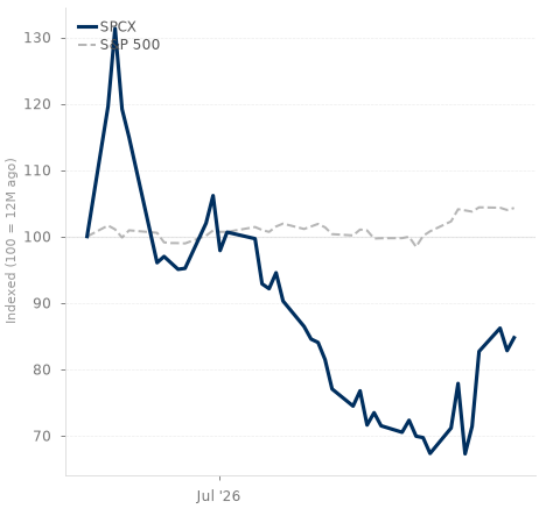
Key Data

Price (USD)	\$136.73
12M Price Target	\$155.00
Upside / (Downside)	+13.4%
Market Cap	\$1.80T
FY2026E Revenue	—
FY2027E Revenue	—
FY2026E EPS	N/M
FY2027E EPS	N/M
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$148.00	\$140.00	\$125.00
6 Months	\$175.00	\$155.00	\$120.00
1 Year	\$200.00	\$165.00	\$110.00
2 Years	\$240.00	\$185.00	\$100.00
5 Years	\$350.00	\$250.00	\$90.00
10 Years	\$550.00	\$380.00	\$80.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+1.77%) is leading again, and chip stocks are strong — that spills into space because satellites and launch vehicles are increasingly compute-heavy. Space/defense is a stealth beneficiary of the AI capex boom (satellite AI, edge compute in orbit).

COOLING OFF: Financials and Energy are flat-to-down — money is rotating out of value/cyclical and into growth/thematic names, which is the exact regime SPCX thrives in.

ROTATION WATCH: Capital is flowing into "national security tech" — space, defense AI, and cybersecurity. This is being driven by the administration's China-competition framing and the defense budget cycle.

RELATED PLAY: If SPCX runs, look at the picks-and-shovels names — ITA (defense ETF), LMT, and pure-play launch supplier Rocket Lab (RKLB) as more concentrated bets on the same thesis.

WHO'S WINNING IN THIS SPACE?

- RKLB (Rocket Lab): Winning on launch cadence and Neutron rocket progress — direct SpaceX competitor narrative
- IRDM (Iridium): Riding defense communications contracts and the Space Force satcom push

SPCX CONTEXT: SPCX is lagging its top holdings on a 5-day basis, which is normal for a diversified ETF but tells me the leadership is narrow. If you want the pure upside, individual names outperform; if you want to sleep at night, the ETF smooths the ride. The lag also suggests SPCX has room to catch up if the rally broadens.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup but I'm not pounding the table because the sector runs hot and cold on headlines, and we've already had a 19% move in a week.

POSITION SIZE: 3-5% of portfolio — enough to matter if the thesis plays out, small enough that a 30% drawdown doesn't ruin your year.

ENTRY POINTS: I'd wait for a pullback to \$125-130 rather than chasing here at \$136. If it breaks above \$140 with volume, that changes — momentum entry is valid too.

TIME HORIZON: 12-24 months — the catalysts are the defense budget cycle, potential SpaceX IPO chatter, and continued launch cadence milestones.

WHEN TO BAIL: If we see a major launch failure across a top-5 holding, or if the defense authorization gets cut by more than 15% in reconciliation, trim aggressively. A close below \$110 is a technical stop.

HEDGING: Simplest hedge — pair this with a broad defense ETF like ITA. If space specifically stumbles but defense stays strong, ITA cushions you. For bigger downside protection, buy a put spread 10% below your entry expiring 3-6 months out.